PART III

Item 9. Disagreements on Accounting and Financial Disclosures: NONE

Item 10. Directors and Executive Officers of the Registrant

The following information as of March 31, 1986, is furnished with respect to each director and executive officer:

Name of Director	Age	Year first elected as director	Position with Company
R. Bruce Stewart	49	1974	President, Treasurer and Director
William F. Rinehart	61	1981	Secretary and Director
Thomas R. Spiel	51	1974	Director
Robert C. Brooks	26	1986	Director
Gerald H. Guyod	56	1986	Director

FAMILY RELATIONSHIPS

There are no family relationships among the directors and officers listed, and there are no arrangements or understandings pursuant to which any of them were elected as directors or officers. All officers hold office for one year and until their successors are elected and qualified. Any officer is subject to removal with or without cause, at any time, by a vote of the majority of the Board of Directors.

BUSINESS EXPERIENCE

Mr. Stewart, age 49, was a business consultant to various individuals and companies from early 1972 until forming the Company. From mid-1968 to early 1972, when his corporation was sold to Systems Engineering Laboratories, Inc., he was a co-founder and Vice President of Multidata, Inc., a designer and manufacturer of small scientific computers.

Mr. Rinehart, age 61, has been a practicing attorney in Los Angeles for over 28 years and is a partner in the firm of Macdonald, Halsted & Laybourne, counsel to the Company.

Mr. Spiel, age 51, was employed by the McDonald's Restaurants for the past 17 years and is currently owner/operater of 4 McDonald locations.

Mr. Brooks, age 26, graduated from Harvard University in 1983 with a BA in Theoretical Physics. He is currently a financial consultant in the high-technology sector.

Mr. Guyod, age 56, is the President, Chief Executive Officer and principal shareholder of MV Publishing, Inc. Mr. Guyod subsequently resigned as a director.

OTHER

There have been no events under any bankruptcy act, no criminal proceedings and no judgments or injunctions material to the evaluation of the ability and integrity of any director or executive officer during the past five years.

Item 11. Management Remuneration

Mr. Stewart devotes full time to the business and operations of the Company and received compensation, totaling approximately $98,000. As a partner in Macdonald, Halsted & Laybourne, counsel of the Company, Mr. Rinehart participates in fees paid or to be paid to that firm by the Company for legal services. For the year ended March 31, 1986, the Company paid $9,144 to Macdonald, Halsted & Laybourne for legal services. Mr. Brooks was paid approximately $35,000 for consulting services performed. During the fiscal year ended March 31, 1986, all officers and directors as a group received aggregate direct remuneration of approximately $133,000.

The Company does not have a deferred compensation, profit sharing or retirement plan.

Item 12. Security Ownership of Certain Beneficial Owners and Management.

The following table lists the only persons known to the Company as of March 31, 1986 who own beneficially more than five percent of the Company's outstanding common stock, and ownership by officers and directors individually and as a group:

Name or Group	No. of Shares	Percent
R. Bruce Stewart	232,000	6.6%
Thomas R. Spiel	103,000	2.9%
William F. Rinehart	1,000	-
Robert C. Brooks	600	-
Officers and directors as a group	336,600	9.6%

Item 13. Certain Relationships and Related Transactions - not applicable

PART I

Item 1. Business.

Annandale Corporation, formerly Micropin Corporation (hereinafter referred to as "Annandale" or "Company") was incorporated in 1974 under the name "EAD Incorporated". From its inception through 1980 the Company was engaged in the development of a pinball-like amusement device.

Actual production of the device commenced on a limited basis prior to March 31, 1980. The devices were placed in various restaurant cocktail lounges and bars in the Los Angeles area on a revenue-split basis. On April 10, 1981, management elected to suspend production of the Micropin game. It was subsequently decided to permanently terminate production of the Micropin game. During 1981 the Company began purchasing and operating video amusement games produced by other manufacturers.

During the year ended March 31, 1982, the Company began engaging in certain investing and business consulting services. On March 28, 1983, a special meeting of shareholders was held to change the principal business of the Company to business and financial consulting services and to change the corporate name to Annandale Corporation. Both of these items were passed and have been put into effect. The services that the employees of the Company provide include the preparation of business and financial plans and the negotiation and finding of financing through the introduction of qualified financial sources with equity securities as the primary compensation for the Company.

The Company's business, that of providing consulting services, is highly competitive and there are large numbers of consulting companies in existence.

Item 2. Properties.

The Company leases its principal office in Pasadena, California. The lease expires in 1988. In the opinion of management, the property is in good condition and is adequate for the Company's current and reasonably foreseeable future needs. The Company believes that its equipment is adequate for its operations and that all of such equipment is in good operating order and repair.

Item 3. Legal Proceedings.

No material legal proceedings to which the Company is a party or to which the property of the Company is subject are pending, and no such proceedings are known by the Company to be contemplated. No legal actions are contemplated nor judgments entered against any officer or director of the Company in connection with any matter involving the Company or its business.

Item 4. Submission of Matters To A Vote Of Security Holders.

Not applicable